

RIVER

Accounting Technical Configuration Playbook

*A plain-language guide to receipts, payments, receivables, payables, income, expenses, assets, liabilities, the double-entry system and the Chart of Accounts
— written for the River product and engineering team*

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① How to use this playbook

Read Parts A to D first — they build the accounting vocabulary in everyday language. Part E is a complete worked example for a GST-registered service business, showing every entry and proving that the books "tie". Parts F and G translate the concepts into River's configuration, masters and Chart of Accounts. A glossary and one-page cheat sheet are at the end.

Wherever you see the symbol ► an accounting entry follows; ✓ marks a rule River must enforce; ▲ marks a common mistake to avoid.

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◆ Part A — Why this playbook exists

River is an accounting product. Every screen, button and report in River ultimately does one of two things: it either sets up the "rules of the game" (configuration and masters) or it records something that happened in the business (transactions). If the rules are set up wrongly, every record built on them is wrong, and the reports at the end — Profit & Loss, Balance Sheet, GST returns — cannot be trusted. That is why the sketch we are working from starts at the very top with one line: Configuration → Trial Balance Tie → Assets/Expenses = Liabilities/Income.

The purpose of this document is to make sure that everyone building River understands (a) what these words mean in plain language, (b) how one business event becomes two or more account entries, and (c) how the Chart of Accounts must be configured so that the trial balance always ties. No prior accounting knowledge is assumed.

■ A.1 Reading the River sketch top to bottom

The hand-drawn diagram is actually a complete architecture of an accounting system. Read it in four layers:

Layer in the sketch	What it is	In River this is...
Configuration [Trial Balance Tie] Assets/Expenses = Liabilities/Income	The foundation. It fixes the business identity (name, GST status, turnover, payment modes) and the accounting equation that every entry must satisfy.	Onboarding wizard + Chart of Accounts structure
Vendor Master, Bank Accounts, Services Master, Customer Master	Reference lists — the "who" and "what" the business deals with. Created once, reused thousands of times.	Master data screens
Payments and Receipts	Money flowing out (to vendors, from bank accounts) and money flowing in (from customers, for services, into bank accounts).	Transaction entry screens
Paid / Payable and Received / Receivable	The outcome or status of each transaction: has the money actually moved, or is it still owed?	Status flags, ageing reports and ledgers

Notice the arrows. Vendor Master and Bank Accounts feed into Payments, because a payment is always "to whom" (vendor) and "from where" (bank). Customer Master,

Services Master and Bank Accounts feed into Receipts, because a receipt is "from whom" (customer), "for what" (service) and "into where" (bank). This is exactly how River's data model should be wired.

♦ Part B — Configuration, Masters, Transactions and Records

These four words are used loosely in everyday speech but mean very different things inside an accounting system. Getting the distinction right is the single most important design decision for River.

Term	Plain-language meaning	How often it changes	Example in a service business
Configuration	The one-time settings that decide how the whole system behaves. Think of it as the rulebook.	Rarely — usually only at set-up or at the start of a financial year.	Business name, GST registered (Yes/No), financial year (1 April – 31 March), base currency INR, default GST rate on services, modes of payment allowed.
Masters	The reference lists of people, things and places that transactions refer to. Think of them as the address book and price list.	Occasionally — when a new customer, vendor, service or bank account is added.	Customer "Alpha Ltd", Vendor "TechMart", Service "Statutory Audit – SAC 9982", Bank "HDFC Current A/c 1234".
Transactions	Individual business events that are entered as they happen. Each one references masters and follows the configuration rules.	Continuously — many times a day.	Raised invoice ₹ 1,18,000 to Alpha Ltd on 10 April; paid TechMart ₹ 70,800 on 20 April.
Records	The permanent stored result of transactions — ledgers, registers and reports. Records are read, not typed.	Never edited directly; they are regenerated from transactions.	Alpha Ltd ledger showing balance receivable; GST output register for April; Trial Balance as on 30 April.

✓ Design rule for River

- ✓ **A transaction must never be allowed without a valid master.** A payment screen must force the user to pick a vendor from Vendor Master and a bank from Bank Accounts. Free-text names create duplicates and break reports.
- ✓ **A master must never be deleted while transactions refer to it.** Allow "inactive", never "delete".
- ✓ **Records are derived, never typed.** If a report looks wrong, the fix is always in the transaction or master, never in the report.

① B.1 The six configuration items in the sketch

The bottom half of the sketch lists six configuration questions. Here is what each one means and why an accountant cares about it.

#	Configuration item	Why it matters for accounting	What River should do with it
1	Business Name	Appears on every invoice, receipt, ledger and report. Must match the name on the PAN and GST registration certificate exactly, otherwise invoices are legally defective.	Capture legal name and trade name separately; print legal name on tax invoices.
2	GST – Yes / No	Decides whether every sale must carry GST, whether GST on purchases can be claimed as credit (Input Tax Credit), and whether GST ledgers are needed at all. Under the CGST Act, 2017 a service provider must register once aggregate turnover crosses ₹ 20 lakh in a financial year (₹ 10 lakh in specified special-category states); voluntary registration is also allowed.	If Yes: capture GSTIN, state, and create Output CGST/SGST/IGST and Input CGST/SGST/IGST ledgers automatically. If No: hide GST columns; treat GST on purchases as part of the expense.
3	Last Year Turnover	Turnover drives compliance thresholds: GST registration, whether GSTR-1 is filed monthly or quarterly (QRMP scheme up to ₹ 5 crore), tax audit applicability under section 44AB of the Income-tax Act, and eligibility for presumptive taxation of professionals under section 44ADA.	Store as a number; use it to suggest filing frequency and to raise compliance reminders. Do not hard-code thresholds — keep them in a versioned table since limits change with Finance Acts.

#	Configuration item	Why it matters for accounting	What River should do with it
4	Existing Accounting Software	Tells us whether opening balances must be migrated (e.g. from Tally, Zoho Books, Excel). Migration is where most configuration errors are born.	Offer an opening-balance import; validate that imported opening debits equal opening credits before allowing the first transaction.
5	RTO / MTT (Recovery Time Objective / Maximum Tolerable Time)	These are IT-continuity terms: how quickly the books must be available again after an outage, and how long the business can survive without them. Books of account must be preserved (eight years under section 128 of the Companies Act, 2013 for companies; six years from the due date of the annual return under section 36 of the CGST Act, 2017 — longer if proceedings are pending).	Use it to decide backup frequency and retention. Keep audit trail (edit log) on — mandatory for companies under the Companies (Accounts) Rules, 2014.
6	Modes of Payment	Cash, bank transfer (NEFT/RTGS/IMPS), UPI, cheque, card. Each mode maps to a different ledger (Cash-in-hand vs a specific Bank Account) and has tax consequences — for instance, cash payments above ₹ 10,000 to a person in a day are disallowed as an expense under section 40A(3) of the Income-tax Act.	Every payment mode must be linked to exactly one Cash or Bank ledger. Flag cash payments above the statutory limit.

▣ Part C — The five building blocks of accounting

Every account that will ever exist in River falls into one of five families. If a ledger cannot be placed in one of these families, it should not be allowed to exist. This is the heart of a correctly configured Chart of Accounts.

Family	Plain-language meaning	Service-business examples	Where it appears
Assets	Things the business owns or is owed that have future value. "What we have."	Bank balance, cash, laptops, office furniture, money owed by customers (receivables), GST input credit, TDS deducted by customers, rent deposit, prepaid insurance.	Balance Sheet

Family	Plain-language meaning	Service-business examples	Where it appears
Liabilities	Amounts the business owes to outsiders. "What we owe."	Bills unpaid to vendors (payables), GST collected but not yet paid to Government, TDS deducted from salaries or vendors but not yet deposited, salary payable, bank loan, advance received from a customer for work not yet done.	Balance Sheet
Equity (Capital)	What the business owes to its own owners — the money they put in plus profits kept in the business. In the sketch it sits on the Liability side because, from the business's point of view, the owner is also someone to whom the business owes money.	Partners' capital, share capital, retained profits (reserves).	Balance Sheet
Income	What the business earns by doing its work or from other sources. "What we earned."	Consulting fees, audit fees, subscription revenue, interest on fixed deposits.	Profit & Loss
Expenses	What the business spends or uses up to earn that income. "What it cost us."	Salaries, office rent, software subscriptions, internet, travel, professional fees paid, depreciation on laptops.	Profit & Loss

Σ The accounting equation (the "Trial Balance Tie" in the sketch)

$$\text{Assets} + \text{Expenses} = \text{Liabilities} + \text{Equity} + \text{Income}$$

The sketch writes it as Assets/Expenses = Liability/Income, treating Equity as part of the liability side. Both are the same idea: everything the business has (assets) or has used up (expenses) was funded either by outsiders (liabilities), by owners (equity) or by what the business itself earned (income). If this equation does not hold, at least one entry is wrong. River must enforce it on every single transaction — not just at month-end.

🕒 C.1 Short-term versus long-term

Assets and liabilities are further split by time. The dividing line is twelve months from the Balance Sheet date (or the business's normal operating cycle, if longer). This split is not cosmetic — bankers, investors and the statutory formats under Schedule III of the Companies Act, 2013 all require it.

	Short-term (Current) — within 12 months	Long-term (Non-current) — beyond 12 months
Assets	Cash in hand; bank balances; customer receivables; GST input credit; TDS receivable; advances to staff; prepaid expenses; fixed deposits maturing within a year.	Laptops, servers, furniture (Property, Plant & Equipment); software licences bought outright (Intangible assets); office security deposit refundable after 3 years; long-term fixed deposits.
Liabilities	Vendor payables; GST output payable; TDS payable; salary payable; advances received from customers; credit-card dues; the instalments of a loan falling due within a year.	Bank term loan (portion due after 12 months); vehicle loan; loan from partners or directors with no fixed repayment date; lease liabilities beyond one year.

▲ Why the split matters

Current assets minus current liabilities is called working capital. If it is negative, the business may not be able to pay its bills next month even if it is profitable on paper. River should show this figure on its dashboard — it is the first number a banker looks at.

⇌ C.2 Income versus Receipt, Expense versus Payment

This is the concept that new teams most often get wrong, so it deserves its own section. Accounting records the event when it happens (called the accrual basis), not when cash moves. Money moving is a separate event.

Word	What it means	Timing	Example
Income	Value earned by delivering a service — recorded when the service is delivered and invoiced, whether or not the customer has paid.	When the work is done / invoice raised	Invoice ₹ 1,00,000 raised to Alpha Ltd on 10 April → Income of ₹ 1,00,000 in April.

Word	What it means	Timing	Example
Receipt	Money actually coming into the business (bank or cash). May relate to an old invoice, a current invoice, an advance, a loan, or capital — a receipt is not automatically income.	When money lands in the bank	Alpha Ltd pays on 25 April → Receipt on 25 April.
Receivable	Income earned but money not yet received. An asset — someone owes us.	The gap between invoice and receipt	Between 10 and 25 April, ₹ 1,18,000 is receivable from Alpha Ltd.
Received	The status once the receivable has been collected.	After receipt	On 25 April the Alpha Ltd balance becomes nil.
Expense	Value used up in running the business — recorded when the goods or service is consumed or the bill is received, whether or not it has been paid.	When the cost is incurred / bill received	Rent bill for April received on 5 April → Rent expense of ₹ 20,000 in April.
Payment	Money actually going out. It may settle an expense, buy an asset, repay a loan, or pay tax — a payment is not automatically an expense.	When money leaves the bank	Paid TechMart ₹ 70,800 on 20 April → Payment on 20 April.
Payable	Expense (or asset purchase) incurred but money not yet paid. A liability — we owe someone.	The gap between bill and payment	The landlord's ₹ 23,600 remains payable at 30 April.
Paid	The status once the payable has been settled.	After payment	TechMart balance becomes nil on 20 April.

① Two-step thinking River must build in

Every sale and every purchase has two moments: **the accrual moment** (invoice or bill — creates income/expense and a receivable/payable) and **the settlement moment** (receipt or payment — clears the receivable/payable and moves bank balance). Sometimes they coincide (a cash sale), but the data model must always allow them to be separate and must link the settlement back to the invoice it settles. This linkage is what produces the Paid/Payable and Received/Receivable status shown at the bottom of the sketch.

▲ A receipt of ₹ 5,00,000 from a partner as capital is a receipt but **not income**. A payment of ₹ 70,800 for a laptop is a payment but **not an expense** (it is an asset). The screen must ask "what is this for?", not just "how much?".

⇒ Part D — How double-entry works

Double-entry bookkeeping is a 500-year-old idea with one rule: every transaction is recorded twice, once as a debit and once as a credit, and the two sides are always equal. This is not a tradition for its own sake — it is a built-in error check. If the debits and credits of every entry are equal, then the total of all debits in the books must equal the total of all credits. That check is the Trial Balance, and "the trial balance ties" means it has passed.

± D.1 Debit and credit in plain language

Forget any association of "debit" with bad and "credit" with good — those are bank-statement words written from the bank's point of view. In a business's own books:

Family	Debit (Dr) means...	Credit (Cr) means...	Normal balance
Asset	Asset increases	Asset decreases	Debit
Expense	Expense increases	Expense decreases (rare — reversals)	Debit
Liability	Liability decreases	Liability increases	Credit
Equity	Equity decreases (drawings, losses)	Equity increases (capital, profits)	Credit
Income	Income decreases (rare — credit notes)	Income increases	Credit

A memory aid: the left side of the equation (Assets and Expenses) grows with debits; the right side (Liabilities, Equity and Income) grows with credits. Debit what comes in or is used up; credit where it came from.

✓ **Rules River must enforce on every entry**

- ✓ Total debits = total credits, to the paise. Reject the save otherwise.
- ✓ Every ledger line must belong to a ledger that exists in the Chart of Accounts and has a family (Asset, Liability, Equity, Income, Expense).
- ✓ At least two ledger lines per entry. A single-line entry is impossible.
- ✓ Date must fall inside an open financial period. Posting into a locked (audited or GST-filed) period must be blocked or require override with an audit-trail log.
- ✓ Entries are never deleted. Wrong entries are reversed or edited with a logged history.

■ **D.2 The ledger, the trial balance and the two final reports**

Once entries are posted, the system groups every line by ledger. A ledger is simply the running history of one account — Alpha Ltd's ledger, the Bank ledger, the Rent ledger. The closing balance of every ledger is listed in the Trial Balance. From the Trial Balance, River produces the two reports the business owner actually wants:

- ◆ **Profit & Loss Statement:** all Income ledgers minus all Expense ledgers for the period. The result is profit (or loss).
- ◆ **Balance Sheet:** all Asset ledgers on one side; all Liability and Equity ledgers (plus the profit just computed) on the other. The two sides must be equal — the final proof that everything ties.

► **Part E — Worked example: a GST-registered service firm**

Meet Bright Consulting LLP, a newly started management-consulting firm in Salem, Tamil Nadu, registered under GST. Consulting services attract GST at 18% (SAC 9983). For a customer in Tamil Nadu (intra-state) the 18% is split as CGST 9% + SGST 9%; for a customer in another state (inter-state) the whole 18% is charged as IGST. The firm follows the financial year 1 April 2026 to 31 March 2027. Below are its transactions for April 2026 and the accounting entry for each.

① **GST ledgers needed (created automatically when GST = Yes)**

Output CGST, Output SGST, Output IGST — **liabilities**: tax collected from customers, owed to Government.

Input CGST, Input SGST, Input IGST — **assets**: tax paid to vendors that can be claimed as Input Tax Credit (ITC) and set off against output tax.

TDS Receivable — **asset**: income-tax deducted at source by customers, which the firm claims in its tax return.

► E.1 The entries

► Entry 1 | 01 Apr 2026 | Partners introduce capital of ₹ 5,00,000 by bank transfer

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	HDFC Bank Current A/c	Asset ↑	5,00,000	
To	Partners' Capital	Equity ↑		5,00,000
	Total		5,00,000	5,00,000

Money came in (a receipt) — but it is capital, not income. The firm owes this money back to its partners, so it sits on the Equity side.

► Entry 2 | 03 Apr 2026 | Laptop bought on credit from TechMart (Tamil Nadu) — ₹ 60,000 + GST 18%

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	Computers & Laptops	Asset ↑	60,000	
Dr	Input CGST	Asset ↑	5,400	
Dr	Input SGST	Asset ↑	5,400	
To	TechMart (Vendor)	Liability ↑		70,800

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
	Total		70,800	70,800

Nothing has been paid yet, so no bank movement. The laptop is an asset (it will be used for years), the GST is an asset (claimable credit), and TechMart is now a payable.

► **Entry 3 | 05 Apr 2026 | Rent bill for April from landlord (GST-registered, Tamil Nadu) — ₹ 20,000 + GST 18%**

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	Office Rent	Expense ↑	20,000	
Dr	Input CGST	Asset ↑	1,800	
Dr	Input SGST	Asset ↑	1,800	
To	Landlord (Vendor)	Liability ↑		23,600
	Total		23,600	23,600

Same structure as Entry 2, but rent is used up within the month, so it is an expense, not an asset.

► **Entry 4 | 10 Apr 2026 | Tax invoice to Alpha Ltd, Chennai (intra-state) — consulting fees ₹ 1,00,000 + CGST 9% + SGST 9%**

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	Alpha Ltd (Customer)	Asset ↑	1,18,000	
To	Consulting Income	Income ↑		1,00,000
To	Output CGST	Liability ↑		9,000

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
To	Output SGST	Liability ↑		9,000
	Total		1,18,000	1,18,000

Income is recognised now, on invoicing. Alpha Ltd becomes a receivable. The ₹ 18,000 GST is not the firm's income — it is collected on behalf of Government and is a liability.

► **Entry 5 | 15 Apr 2026 | Tax invoice to Beta Pvt Ltd, Bengaluru (inter-state)**
— consulting fees ₹ 50,000 + IGST 18%

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	Beta Pvt Ltd (Customer)	Asset ↑	59,000	
To	Consulting Income	Income ↑		50,000
To	Output IGST	Liability ↑		9,000
	Total		59,000	59,000

The customer is in Karnataka, so the place of supply is outside Tamil Nadu and IGST applies instead of CGST + SGST. River must pick the tax type from the customer's state in Customer Master versus the firm's state in Configuration.

► **Entry 6 | 20 Apr 2026 | Paid TechMart in full by NEFT**

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	TechMart (Vendor)	Liability ↓	70,800	
To	HDFC Bank Current A/c	Asset ↓		70,800
	Total		70,800	70,800

A pure settlement entry. No expense, no asset, no GST — those were recorded in Entry 2. TechMart's status moves from Payable to Paid.

► **Entry 7 | 25 Apr 2026 | Alpha Ltd pays, after deducting TDS @ 10% under section 194J on the fee of ₹ 1,00,000**

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	HDFC Bank Current A/c	Asset ↑	1,08,000	
Dr	TDS Receivable	Asset ↑	10,000	
To	Alpha Ltd (Customer)	Asset ↓		1,18,000
	Total		1,18,000	1,18,000

Alpha Ltd is a company, so it must deduct income-tax at source on professional fees and deposit it with Government in the firm's name. The firm receives only ₹ 1,08,000 in cash, but the ₹ 10,000 is not lost — it is an asset (prepaid income-tax) that the firm will adjust against its own tax liability. Alpha Ltd's balance is now nil: Received. TDS is deducted on the fee, not on the GST component (CBDT Circular No. 23/2017).

► **Entry 8 | 30 Apr 2026 | Salaries for April ₹ 40,000, to be paid on 5 May**

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	Salaries	Expense ↑	40,000	
To	Salary Payable	Liability ↑		40,000
	Total		40,000	40,000

The staff worked in April, so April bears the expense even though cash leaves in May. This is accrual accounting in action.

■ E.2 The ledgers after posting

River now groups the eight entries by ledger. Two examples show how a ledger reads:

Ledger: HDFC Bank Current A/c

Date	Particulars	Debit (₹)	Credit (₹)	Balance (₹)
01 Apr	Partners' Capital	5,00,000		5,00,000 Dr
20 Apr	TechMart		70,800	4,29,200 Dr
25 Apr	Alpha Ltd	1,08,000		5,37,200 Dr

Ledger: Alpha Ltd (Customer)

Date	Particulars	Debit (₹)	Credit (₹)	Balance (₹)
10 Apr	Consulting Income + GST (Invoice 001)	1,18,000		1,18,000 Dr
25 Apr	Bank + TDS Receivable		1,18,000	Nil

Σ E.3 Trial Balance as on 30 April 2026 — does it tie?

Ledger	Family	Debit (₹)	Credit (₹)
HDFC Bank Current A/c	Asset – Current	5,37,200	
Computers & Laptops	Asset – Non-current	60,000	
Input CGST	Asset – Current	7,200	
Input SGST	Asset – Current	7,200	
Beta Pvt Ltd (Customer)	Asset – Current (Receivable)	59,000	
TDS Receivable	Asset – Current	10,000	
Office Rent	Expense	20,000	
Salaries	Expense	40,000	
Partners' Capital	Equity		5,00,000
Landlord (Vendor)	Liability – Current (Payable)		23,600
Salary Payable	Liability – Current		40,000
Output CGST	Liability – Current		9,000
Output SGST	Liability – Current		9,000

Ledger	Family	Debit (₹)	Credit (₹)
Output IGST	Liability – Current		9,000
Consulting Income	Income		1,50,000
TOTAL		7,40,600	7,40,600

Debits ₹ 7,40,600 = Credits ₹ 7,40,600. The trial balance ties. Note that TechMart and Alpha Ltd do not appear at all — their balances are nil because they have been Paid and Received respectively. Landlord and Beta Pvt Ltd do appear, because they are still Payable and Receivable. This is exactly the Paid/Payable and Received/Receivable outcome at the bottom of the sketch.

■ E.4 From the Trial Balance to the two reports

Profit & Loss for April 2026

Particulars	Amount (₹)
Consulting Income	1,50,000
Less: Office Rent	(20,000)
Less: Salaries	(40,000)
Net Profit for the month	90,000

Depreciation on the laptop has been ignored for simplicity; in practice a monthly depreciation entry (Dr Depreciation / Cr Accumulated Depreciation) would also be posted.

Balance Sheet as on 30 April 2026

Equity & Liabilities	Amount (₹)	Assets	Amount (₹)
Partners' Capital	5,00,000	Non-current assets	
Add: Profit for April	90,000	Computers & Laptops	60,000
Current liabilities		Current assets	
Landlord payable	23,600	HDFC Bank	5,37,200
Salary payable	40,000	Beta Pvt Ltd receivable	59,000

Equity & Liabilities	Amount (₹)	Assets	Amount (₹)
Output CGST	9,000	Input CGST	7,200
Output SGST	9,000	Input SGST	7,200
Output IGST	9,000	TDS Receivable	10,000
TOTAL	6,80,600	TOTAL	6,80,600

Both sides equal ₹ 6,80,600. Working capital (current assets ₹ 6,20,600 less current liabilities ₹ 90,600) is a healthy ₹ 5,30,000.

⇌ E.5 What happens to the GST in May

When the firm files GSTR-3B for April (due by the 20th of May for a monthly filer), the input credit is set off against the output liability. The set-off order prescribed under section 49 of the CGST Act read with rule 88A is: IGST credit is used first (against IGST, then CGST, then SGST in any order); CGST credit is used against CGST then IGST; SGST credit against SGST then IGST. CGST and SGST credit can never be set off against each other.

Head	Output liability (₹)	Input credit (₹)	Cash payable (₹)
CGST	9,000	7,200	1,800
SGST	9,000	7,200	1,800
IGST	9,000	0	9,000
Total	27,000	14,400	12,600

► Entry 9 | 18 May 2026 | GST set-off and cash payment for April (filed in GSTR-3B)

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	Output CGST	Liability ↓	9,000	
Dr	Output SGST	Liability ↓	9,000	

	Ledger (Account)	Effect	Debit (₹)	Credit (₹)
Dr	Output IGST	Liability ↓	9,000	
To	Input CGST	Asset ↓		7,200
To	Input SGST	Asset ↓		7,200
To	HDFC Bank Current A/c	Asset ↓		12,600
	Total		27,000	27,000

River should generate this entry automatically from the GST registers. The output ledgers become nil, the input ledgers become nil, and the bank drops by exactly the cash paid on the GST portal.

≡ Part F — Configuring the Chart of Accounts in River

The Chart of Accounts (CoA) is the list of every ledger that can be used in a transaction, arranged in a tree: Family → Group → Sub-group → Ledger. A correctly configured CoA is what makes the trial balance tie automatically and what lets the Balance Sheet split current from non-current without human effort. The recommended default tree for a GST-registered service business is below. River should ship this as a template and let the user add ledgers under the right group — but never allow a ledger with no group.

Family	Group	Sub-group	Default ledgers to create	Normal balance
Assets	Non-current Assets	Property, Plant & Equipment	Computers & Laptops; Furniture & Fixtures; Office Equipment; Accumulated Depreciation (contra)	Dr
Assets	Non-current Assets	Intangible Assets	Software Licences (perpetual)	Dr
Assets	Non-current Assets	Long-term Deposits	Office Rent Deposit	Dr
Assets	Current Assets	Cash & Bank	Cash-in-hand; one ledger per bank account (from Bank Accounts master); UPI/wallet if held	Dr

Family	Group	Sub-group	Default ledgers to create	Normal balance
Assets	Current Assets	Trade Receivables	One ledger per customer (auto-created from Customer Master)	Dr
Assets	Current Assets	Tax Assets	Input CGST; Input SGST; Input IGST; TDS Receivable; Advance Income-tax; GST Cash Ledger balance	Dr
Assets	Current Assets	Other Current Assets	Prepaid Expenses; Staff Advances; Unbilled Revenue	Dr
Liabilities	Non-current Liabilities	Long-term Borrowings	Bank Term Loan; Loan from Partners/Directors	Cr
Liabilities	Current Liabilities	Trade Payables	One ledger per vendor (auto-created from Vendor Master)	Cr
Liabilities	Current Liabilities	Statutory Dues	Output CGST; Output SGST; Output IGST; TDS Payable (194C/194J/192 etc.); PF Payable; ESI Payable; Professional Tax Payable	Cr
Liabilities	Current Liabilities	Other Current Liabilities	Salary Payable; Expenses Payable (provisions); Advances from Customers; Credit Card Payable; Current maturity of long-term loan	Cr
Equity	Owners' Funds	Capital	Partners' Capital / Share Capital; Partners' Current A/c or Retained Earnings; Drawings (contra)	Cr
Income	Revenue from Operations	Service Income	One ledger per service line (from Services Master) e.g. Consulting Income; Audit Fees; Retainer Income	Cr
Income	Other Income	Non-operating Income	Interest on FD; Discount Received; Foreign Exchange Gain	Cr
Expenses	Direct Expenses	Cost of Services	Sub-contractor Fees; Project Travel; Client-billable Expenses	Dr
Expenses	Indirect Expenses	Employee Benefits	Salaries; Employer PF/ESI Contribution; Staff Welfare	Dr
Expenses	Indirect Expenses	Administrative	Office Rent; Electricity; Internet & Telephone; Software Subscriptions; Printing & Stationery; Professional Fees; Bank Charges	Dr
Expenses	Indirect Expenses	Finance Cost	Interest on Loan; Interest on Late Payment of Tax	Dr
Expenses	Indirect Expenses	Depreciation & Amortisation	Depreciation; Amortisation of Software	Dr

✓ Configuration checks River should run before allowing the first transaction

- ✓ Every ledger has exactly one Family and one Group. The Family decides Dr/Cr behaviour and which report (P&L or Balance Sheet) it lands in.
- ✓ Every Asset and Liability group is tagged Current or Non-current.
- ✓ If GST = Yes, the six GST ledgers exist and are locked against renaming or deletion.
- ✓ At least one Bank or Cash ledger exists and is mapped to at least one Mode of Payment.
- ✓ Opening balances (if migrated) have total debits = total credits; any difference is parked in a clearly-named "Opening Balance Difference" ledger and flagged red until resolved.
- ▲ Common mistake: creating "GST Paid" as an expense. GST paid to vendors is an asset (credit), not a cost, for a registered business.
- ▲ Common mistake: one ledger called "Sundry Creditors" with vendor names in the narration. Each vendor and customer must be its own ledger so that Paid/Payable and ageing can be computed.

Part G — Masters and transaction flows

G.1 Minimum fields for each master

Master	Minimum fields	Why the accountant needs it
Customer Master	Legal name; GSTIN (validate 15-character format and state code); State; PAN; billing address; credit period (days); default service; whether customer deducts TDS; contact.	State decides CGST+SGST vs IGST. GSTIN must appear on the tax invoice for the customer to claim credit. PAN and TDS flag allow the TDS Receivable entry. Credit period drives the receivable ageing report.
Vendor Master	Legal name; GSTIN or "Unregistered"; State; PAN; vendor type (goods / services / professional / contractor); TDS section and rate applicable; bank details for payment; default expense ledger.	GSTIN decides whether input credit can be claimed. Vendor type decides TDS section (e.g. 194J professional, 194C contractor) and rate. Default expense ledger speeds entry and reduces mis-posting.

Master	Minimum fields	Why the accountant needs it
Services Master	Service name; SAC code (6 digits); GST rate; default income ledger; unit (hour / project / month); standard rate.	SAC and rate must print on the tax invoice under rule 46 of the CGST Rules, 2017. Each service maps to an income ledger so revenue can be analysed by service line.
Bank Accounts	Bank name; account number; IFSC; account type (current / savings / OD); opening balance and date; linked ledger; allowed payment modes.	Each bank account is its own ledger. Opening balance must match the bank statement on the opening date — the first reconciliation.

⇐ G.2 The Payment flow (left side of the sketch)

Step	Screen action	Accounting effect	Status update
1	User records a vendor bill: picks Vendor (Vendor Master), picks expense or asset ledger, enters taxable value; River computes GST from vendor GSTIN and state.	Dr Expense/Asset, Dr Input GST; Cr Vendor	Vendor: Payable
2	If TDS applies (from Vendor Master), River deducts TDS on the taxable value and credits TDS Payable.	Cr TDS Payable; Cr Vendor reduced by TDS	TDS: Payable to Government
3	User records payment: picks Vendor, picks Bank (Bank Accounts), selects which bills are being settled, chooses Mode of Payment.	Dr Vendor; Cr Bank	Vendor: Paid (fully or partly)
4	Month-end: TDS deposited by the 7th of next month; GST set-off via GSTR-3B.	Dr TDS Payable / Output GST; Cr Bank	Statutory dues: Paid

⇒ G.3 The Receipt flow (right side of the sketch)

Step	Screen action	Accounting effect	Status update
1	User raises a tax invoice: picks Customer (Customer Master), picks Service (Services Master), enters value; River computes CGST+SGST or IGST from customer state and prints SAC, GSTIN, invoice number and date as required by rule 46.	Dr Customer; Cr Service Income, Cr Output GST	Customer: Receivable

Step	Screen action	Accounting effect	Status update
2	User records receipt: picks Customer, picks Bank, selects invoices being settled; if the customer deducted TDS, enters the short-received amount as TDS Receivable.	Dr Bank, Dr TDS Receivable; Cr Customer	Customer: Received
3	If money is received before the invoice (advance), River posts it to Advances from Customers (liability) and later adjusts it against the invoice. GST on advances for services is payable at the time of receipt under section 13 of the CGST Act.	Dr Bank; Cr Advance from Customer (+ Output GST)	Advance: Held
4	Month-end: GSTR-1 (outward supplies) is generated from the invoice register; receivable ageing is generated from open invoices.	No entry — records only	Reports

≡ Part H — Glossary

Term	Meaning in one line
Accrual basis	Recording income and expenses when they are earned or incurred, not when cash moves.
Ageing	A report grouping receivables or payables by how many days they have been outstanding (0–30, 31–60, 61–90, 90+).
Chart of Accounts	The structured list of all ledgers, grouped by Family and Group.
Contra ledger	A ledger that reduces another (e.g. Accumulated Depreciation reduces Computers; Drawings reduce Capital).
Credit note	A document reducing a previously issued invoice (reverses income and output GST).
GSTR-1 / GSTR-3B	Monthly or quarterly GST returns: GSTR-1 lists invoices issued; GSTR-3B summarises tax payable and credit claimed.
Input Tax Credit (ITC)	GST paid on purchases that a registered business can set off against GST collected on sales.
Journal entry	A single transaction expressed as equal debits and credits with a date and narration.
Ledger	The running account of one item — every debit and credit to it, and its balance.

Term	Meaning in one line
Narration	The free-text description attached to an entry explaining what happened.
Opening balance	The balance of a ledger at the start of the year, carried forward from the previous year or migrated from old software.
Provision	An expense recorded for something incurred but not yet billed (e.g. audit fee for the year).
SAC	Services Accounting Code — the 6-digit classification of a service under GST.
TDS	Tax Deducted at Source — income-tax withheld by the payer and deposited with Government on behalf of the payee.
Trial Balance	The list of all ledger balances at a date; total debits must equal total credits.
Working capital	Current assets minus current liabilities.

★ Part I — One-page cheat sheet

Event	Debit	Credit
Owner puts money in	Bank	Capital
Raise invoice to customer	Customer	Service Income + Output GST
Customer pays (with TDS)	Bank + TDS Receivable	Customer
Customer pays advance	Bank	Advance from Customer (+ Output GST)
Receive vendor bill (expense)	Expense + Input GST	Vendor
Receive vendor bill (asset)	Asset + Input GST	Vendor
Deduct TDS on vendor bill	Vendor	TDS Payable
Pay vendor	Vendor	Bank
Pay salary (accrued earlier)	Salary Payable	Bank
Deposit TDS with Government	TDS Payable	Bank
GST set-off and payment	Output GST	Input GST + Bank
Monthly depreciation	Depreciation	Accumulated Depreciation
Take a bank loan	Bank	Loan (Non-current)

Event	Debit	Credit
Pay loan instalment	Loan + Interest Expense	Bank

★ **The three sentences to remember**

- 1. Income and expense happen when work is done or a bill arrives; receipt and payment happen when money moves. Receivable and payable are the gap in between.**
- 2. Every entry has equal debits and credits; therefore the trial balance always ties; therefore the Balance Sheet always balances.**
- 3. Configuration sets the rules, Masters define the parties, Transactions record events, Records report results — fix problems at the earliest layer, never at the report.**

Statutory references in this document are to the Income-tax Act, 1961, the CGST Act, 2017 and Rules, and the Companies Act, 2013, as in force on the date of this playbook. Thresholds and rates change with each Finance Act and notification; River should store them in a versioned configuration table rather than in code, and the firm should review this playbook each April.